

SENATE BILL 1481

By Walley

AN ACT to amend Tennessee Code Annotated, Title 9;
Title 54; Title 55 and Title 67, relative to vehicles
wholly or partly powered by electricity.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 67, Chapter 3, Part 6, is amended by
adding the following as a new section:

67-3-620.

(a) As used in this section, "electric vehicle", "electric vehicle charging station",
and "electric vehicle power" have the same meanings as defined in § 67-3-1001.

(b) A person who owns or leases an electric vehicle charging station in this state
and who sells or distributes electric vehicle power through the station must first obtain a
special electricity sale and distribution license under this chapter. The person must
submit an application and fee of thirty dollars (\$30.00) to the department. The license
must identify the location of each electric vehicle charging station owned or leased by
the person and the name, brand, or manufacturer of the type of electric vehicle charging
station. Licenses issued by the commissioner pursuant to this section must be posted in
a prominent and accessible place upon each electric vehicle charging station.

(c) In addition to the initial license issued under subsection (b), the
commissioner shall renew the license upon verification that the person has remitted all
taxes due pursuant to § 67-3-1002. A fee must not be charged for the renewal of a
license issued under this section.

(d) The department shall remit the proceeds of the license fee imposed by
subsection (b) to the county or municipality in which an electric vehicle charging station

is located, less a reasonable amount or percentage as determined by the department to cover the expenses of administration and collection, which must not exceed two percent (2%) of the fees collected. The proceeds from the license fee received by the county or municipality must be used for construction, repair, or improvement of roads and bridges or for the funding of public transportation systems located or provided wholly or partly within the county or municipality.

SECTION 2. Tennessee Code Annotated, Title 67, Chapter 3, is amended by adding the following as a new part:

67-3-1001. As used in this part:

(1) "All-electric vehicle" and "plug-in hybrid electric vehicle" have the same meanings as defined in § 55-4-116;

(2) "Distribute" means the delivery or transfer of electric power into the battery or other energy storage device of an electric vehicle at a location in this state;

(3) "Electric vehicle" means an all-electric vehicle or a plug-in hybrid electric vehicle;

(4) "Electric vehicle charging station":

(A) Means a place accessible to general public vehicular traffic where electric power may be used to charge a battery or other storage device of an electric vehicle; and

(B) Does not include a place located on the premises of a residence;

(5) "Electric vehicle power" means electrical energy distributed into the battery or other energy storage device of an electric vehicle to be used to power the vehicle;

(6) "Electric vehicle power dealer" means a person who owns or leases an electric vehicle charging station in this state with a charging capacity of twenty (20)

kilowatts or more and who sells or distributes electric vehicle power through the electric vehicle charging station;

(7) "Extended stay rental" means a structure, space, or a portion of the structure or space, that is occupied or intended or designed for occupancy by a person for dwelling, lodging, or sleeping purposes, for a period of thirty (30) or more continuous days; and

(8) "Residence" means a single-family dwelling, multifamily dwelling, or an extended stay rental.

67-3-1002.

(a) Beginning on January 1, 2027, an excise tax at the rate of three cents (3¢) per kilowatt-hour is imposed on all electric vehicle power sold or distributed in this state by an electric vehicle power dealer for the purpose of charging electric vehicles. The tax imposed by this section must be collected and paid by an electric vehicle power dealer in the manner specified in this part.

(b) The proceeds of the tax imposed by subsection (a) must be apportioned pursuant to § 55-4-116(c) in the same manner as the additional registration fees established in § 55-4-116.

(c) The tax imposed by subsection (a) on electric vehicle power must be included in the sales price for the purpose of determining sales price under the Retailers' Sales Tax Act, compiled in chapter 6 of this title, and for calculating the applicable sales or use tax, regardless of whether the taxes may be separately stated by the electric vehicle power dealer.

(d) All taxes accrued by the electric vehicle power dealer with respect to electric vehicle power sold or distributed from an electric vehicle charging station during a calendar month are due and payable to, and reports must be filed with, the department

on or before the twentieth day of the month following the month of activity. In addition to other information as the department determines is reasonably required to collect the tax under this part, the report must include the number of kilowatt-hours sold and distributed by the electric vehicle power dealer in this state during the calendar month.

67-3-1003.

(a) An electric vehicle charging station must be capable of accurately measuring and prominently displaying the amount of electric vehicle power delivered to each electric vehicle on a per kilowatt-hour basis. The stations must be further equipped with meters to record the total kilowatt-hours dispensed.

(b) A sign, placard, or other means used to advertise the price of electric vehicle power for sale at retail through an electric vehicle charging station may contain a separate listing of the price and a separate listing of the tax imposed pursuant to this part, and must contain a total of that price and taxes, which must be at least as large as the listing of the price or a tax imposed on the price.

67-3-1004.

The commissioner may authorize investigations of an electric vehicle charging station for the purpose of enforcing this part, to be conducted by an employee of the special investigations section of the department who is appointed by the commissioner, or other deputies, subordinate officers, clerks, investigators, or employees appointed by the commissioner who may be necessary to conduct the investigation.

67-3-1005.

The commissioner may assess a civil penalty of five thousand dollars (\$5,000) per day or twenty-five dollars (\$25.00) per kilowatt-hour of electric vehicle power involved, whichever is greater, against a person who violates this part.

67-3-1006.

The commissioner may promulgate rules to effectuate the purposes of this part in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 3. For purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.